You are the manager on the audit of the financial statements of Carmichael Computer Games Ltd ('Carmichael'), a company that designs, develops and sells computer games. You are planning the audit for the year ended 30 November 20X7. It is currently 30 August 20X7.

Julia Spence (Carmichael's finance director) has emailed a copy of Carmichael's accounting policy for intangible assets and extracts from its accounting manual regarding the recognition of intangible assets (Appendix 1). She has also provided a schedule of intangible assets including tables outlining completed games and capitalised design and development costs for new games and upgrades (Appendix 2).

Carmichael's accounting policy is to capitalise all design and development costs within intangible assets in the statement of financial position in accordance with relevant accounting standards. Management believes that all of the activities of the design and development department add to the revenue base of the company and therefore all such costs are capitalised within intangible assets on the basis of the future economic benefits. Amortisation is charged over the estimated useful life of each game. The expected useful life is up to five years.

John Sinclair (your audit partner) has asked you to analyse and explain the audit risks relating to intangible assets including those related to specific completed games and capitalised design and development costs. He has reviewed the copy of Carmichael's accounting policy for intangible assets and the extracts from its accounting manual (Appendix 1) and has confirmed that the policy is compliant with International Accounting Standard 38 *Intangible assets* ('IAS 38').

Required:

Identify and evaluate the audit risks relating to Carmichael's intangible assets, including specific risks relating to both its **completed games** and **capitalised design and development costs**.

(24 marks)

APPENDIX 1 – Accounting policy for intangible assets, including extracts from Carmichael's accounting manual

Intangible assets

Intangible assets are held at cost less accumulated amortisation and any provision for impairment. Included within intangible assets are assets where game development is complete, upgrade costs for new versions of an existing game and design and development costs for new game developments in progress. Capitalised costs include directly attributable costs to bring the assets into use.

Amortisation is provided between 20% and 33% per annum on a straight-line basis, over useful lives of three to five years, to write off the costs of intangible assets, less any residual value, from the date on which production starts.

Impairment of assets

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised in the income statement for the amount by which the asset's carrying value exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value-in-use, which is based on estimated future cash flows.

Any capitalised costs relating to discontinued games are removed from intangible assets once physical products cease production or online access is cancelled.

Extracts from Carmichael's accounting manual regarding design and development costs

An intangible asset arising from internally generated design and development is recognised in line with IAS 38 if each of the following can be demonstrated:

- the technical feasibility of the completed game;
- our intention to complete and sell the game;
- our ability to use or sell the game;
- the game will generate future economic benefit;
- the availability of sufficient resources to complete the development of the game; and
- the ability to measure reliably the expenditure incurred on the game during its development.

Therefore, where Carmichael internally develops software for each game this should be charged as an expense until the above criteria are met.

The following items must be charged to expenses when incurred:

- training costs; and
- advertising and promotional costs

APPENDIX 2 – Extracts of management accounts detailing intangible assets as at 31 July 20X7

Intangible assets comprise two elements: completed games which have been released to the market (Table One) and design and development costs which include costs associated with new games being developed and unreleased upgraded versions of games (Table Two).

Table One: Completed games as at 31 July 20X7

This table details the costs capitalised to 30 November 20X6 and additions in 20X7 where the development is complete (ie: a new version for a game has been released).

	Futball 66 Version 10	**Crickt 23 Version 7**	**Golf 80 Version 2**
Note	**1**	**2**	**3**
Gross amount capitalised	£800,000	£400,000	£300,000
Accumulated amortisation	(£300,000)	(£100,000)	(£100,000)
Carrying amount at 31 July 20X7	**£500,000**	**£300,000**	**£200,000**
Amortisation period	3 years	5 years	3 years
Sales			
Current year to date unit sales	2,100k	1,200k	200k
Prior year to date unit sales	2,500k	1,200k	540k

Note

1. This football game has been very popular since its launch, albeit sales in the current period are lower than the same period last year. We are regularly releasing upgraded versions to meet consumer demand. Market intelligence suggests a number of competitors have been trialling their own version of the game over the past three years with increased success. In the year to date there have been a number of updates required to resolve bugs and complaints raised by gamers and the costs of £280k have been capitalised.

2. This cricket game has proved popular and sales continue to meet expectations. Major upgrades to this game have been released every three years with significant investment in adding new features and replacing aspects of the game.

3. Golf 80's sales have been disappointing so far in 20X7. Several competitor golf games have received positive reviews following each of their upgrades. Despite only launching 12 months ago, we have already upgraded to Version 2 to fix critical software flaws. We anticipate major upgrades on Golf 80 will be required every three years and significant investment is required to market and upgrade the game to appeal to a broader audience. A professional golfer, Joanna Becks,

recently filed a lawsuit against Carmichael for copyright infringement as she claims that her approval for her image rights being used in the game was never finalised and agreed with her lawyers. Legal opinion is pending on this matter.

Table Two: Capitalised 'design and development costs' as at 31 July 20X7

This table details costs capitalised as at 31 July 20X7 associated with new games being developed and unreleased upgraded versions of games.

	Game name and version		
	Project Zero	**Project Cloud 9**	**Project Underground**
Project description	Upgrade and bug fixes for the Version 10 of Futball 66.	Boxing game	London marathon game
Note	**1**	**2**	**3**
Total costs (comprising)	**£654,000**	**£2,975,000**	**£1,032,000**
- Materials	194,000	989,000	94,000
- Designer and technician payroll	263,000	1,520,000	823,000
- Office rent	59,000	78,000	53,000
- Advertising and promotional costs	138,000	388,000	62,000
Forecast launch date	10/11/20X7	30/09/20X8	30/06/20X9
Budgeted annual number of unit sales	300k	2,500k	7,000k
Forecast gross profit margin	66%	(8%)	(25%)

Note

1. This project is being undertaken due to online complaints over bugs in Version 10. Our online sales of Version 10 have decreased against the same period in 20X6 as customers are waiting for Version 11 which we plan to launch during November 20X8 to meet Christmas demand.

2. Project Cloud 9 is a new type of boxing game where players start training and sparring, then progress to amateur and professional bouts. At present, no competitor is selling such a game and we expect to be the first to market.

3. Having planned for a launch in June 20X8, the board decided during March 20X7 to suspend any further development of this game due to technical difficulties in obtaining permission to use various retailers' names / images around the digital representation of the London marathon course.